Sri Lanka Institute of Information Technology

B.Sc. Honours Degree in Information Technology

Specialized in Information Technology

Final Examination

Year 3, Semester 2 (2023)

IT3090 – Business Management for IT

Duration: 2 Hours

November 2023

Instructions to Candidates:

- This paper has **Four (04)** questions on **Five (05)** pages including the cover page.
- Answer all questions in the booklet given.
- The total mark for the paper is 100.
- Electronic devices that store and retrieve text, including mobile phones, are not allowed.
- Calculators are allowed.

Question 1 **(25 Marks)**

Mega Ltd manufactured water heaters. In the first year of its operations, the revenue earned by the company was just sufficient to meet its costs. To increase the revenue, the company analyzed the reasons behind the less revenue.

After analysis, the company decided:

- To reduce labor costs by shifting the manufacturing unit to a backward area where labor was available at a very low rate.
- To start manufacturing solar water heaters and slowly reduce the production of electric water heaters.

This will not only help in covering the risks but also help in meeting other objectives.

(a) Name four management functions.

(02 Marks)

(b) Mega Ltd seeks your help to develop sales objective. Develop a Sales objective for Mega Ltd which has SMART characteristics.

(07 Marks)

(c) Explain the best way to apply Maslow's hierarchy of needs theory to motivate the employees of Mega Ltd.

(08 Marks)

(d) By analyzing the three leadership styles of Kert Levins which leadership approach would be most appropriate for Mega Ltd. Justify your answer.

(08 Marks)

Question 2 **(25 Marks)**

Google Inc., the world's largest and most popular search engine company, is also one of the most sought-after companies in the world.

One of the most notable statements of Eric Schmidt, the CEO of Google Inc. is that "Google invests in people." The main reason why people from different cultures have been dreaming of being recruited and hired by Google is that the company offers possibly the most outstanding job compensation packages any normal employee could ever enjoy.

To attract the best employees, Google draws them by the promise of wealth and luxury, providing their employees with almost everything an employee could possibly need, from absurdly high compensations to extravagant and luxurious benefits like gourmet food, carwash, gym, snacks, exercise classes, dry cleaning services, car services, haircuts, oil changes, massages, checkups and many more, all for free.

(a) What is recruitment?

(02 Marks)

(b) Suggest four methods of recruitment Google Inc could use considering the given situation.

(06 Marks)

(c) Assuming you are the HR Manager of Google Inc, provide recommendations to retain the hired employees. Need to give reasons for each strategy recommendation you suggest.

(08 Marks)

(d) Employees are considered a unique resource of an organization. Do you agree? Justify your answer.

(09 Marks)

Question 3 **(25 Marks)**

(a) Explain the difference between Fixed Assets and Current Assets with relevant examples.

(05 Marks)

(b) Following are the accounting transactions relating to Mr. Nirmal's business. Show the effect of them on the accounting equation. Tally the equation after entering all the transactions.

I. Mr. Nimal invested Rs. 100,000/- to start the business.

II. Bought goods for credit from Mr. Kamal worth Rs.50,000/-

III. Purchased machinery for cash Rs.15,000/-

IV. Business returns goods to the supplier Mr. Kamal (Creditor) cost Rs.5,000/-

V. Paid to Mr. Kamal Rs.2,000/- for the goods bought on a credit basis.

(10 Marks)

(c) The following is the last year and this year's balance sheet of the Lydex Company Ltd. You are required to **calculate and interpret** the results of the following ratios for both Last Year and This Year.

I. Current ratio

II. Quick ratio (Acid-test ratio)

(10 Marks)

Assets		
Current assets:		
Cash	$ 960,000	$ 1,200,000
Marketable securities	0	300,000
Accounts receivable, net	2,700,000	1,800,000
Inventory	3,600,000	2,000,000
Prepaid expenses	260,000	200,000
Total current assets	7,520,000	5,500,000
Plant and equipment, net	9,520,000	9,050,000
Total assets	$17,040,000	$14,550,000
Liabilities and Stockholders' Equity		
Liabilities:		
Current liabilities	$ 4,010,000	$ 2,980,000
Note payable, 10%	3,660,000	3,060,000
Total liabilities	7,670,000	6,040,000
Stockholders' equity:		
Common stock, $75 par value	7,500,000	7,500,000
Retained earnings	1,870,000	1,010,000
Total stockholders' equity	9,370,000	8,510,000
Total liabilities and stockholders' equity	$17,040,000	$14,550,000

Question 4 **(25 Marks)**

(a) If the demand and supply curve for computers is:

$D = 100 - 8P$, $S = 28 + 5P$

What is the quantity of computers bought and sold at equilibrium, where P is the price of computers?

(05 Marks

(b) The demand for Good Z is determined by the price of Z (Pz), monthly income (Y), and the price of a related Good W. (Pw). Equation 1 below gives the demand for Good Z (Qz):

$Qz = 150 - 5Pz + 2Y - 10Pw$

When Y is \$50 and Pw is \$6, find the demand equation for Good Z in terms of the price for Z (Pz)

(10 Marks)

(c) Based on your understanding of Demand and Supply concepts answer the questions given below.

I. Drought has severely reduced beef supplies in beef-producing states, so consumers are turning to pork as a beef substitute. How would you depict this shift in the beef market in terms of supply and demand?

(2.5 Marks)

II. The price of Christmas trees rises in December, as does the number of trees sold. Is this a violation of the demand law?

(2.5 Marks)

III. Why do demand curves generally slope downward?

(2.5 Marks)

IV. Explain the difference between a change in quantity demanded and a change in demand.

(2.5 Marks)

End of the Question Paper